REPORT TO SHAREHOLDERS

MANAGEMENT'S DISCUSSION AND ANALYSIS

The Company's profitability in the quarter was impacted by a 35% increase in flour costs and steps are being taken to recover this through price increases. This pressure on earnings was compounded by costs related to a new product launch and operational issues at the Roanoke frozen bakery plant. The Company continues to benefit from brand and market leadership in fresh bakery, with acceleration in new product innovation and category expansion to grow the top line. The Company is taking multiple steps to improve profitability in its North American frozen business.

Sales for the third quarter increased by approximately 9% to $342.3 million from $314.5 million for the prior year, attributable to increased volume in the U.S. and U.K. bakery operations, improved sales mix and price increases. Year-to-date sales increased 7% to $979.5 million from $918.2 million.

Earnings from operations for the third quarter decreased 18% to $26.8 million compared to $32.9 million last year, while year-to-date earnings from operations increased by 2% to $87.0 million from $85.4 million. Comparisons of year-to-date earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

During the quarter the Company recorded a non-recurring tax expense of $21.2 million to write-down future tax assets related to its U.S. frozen bakery business. Although the Company continues to believe that tax losses incurred to date in this jurisdiction will be utilized, the accumulation of tax losses in recent years and uncertainty as to when these losses will be utilized has triggered application of accounting rules that require the Company to set-up a full valuation allowance against these net tax assets. These adjustments are more fully explained in note 8 to the financial statements.

Net earnings for the quarter, before non-recurring tax adjustments, decreased 20% to $18.5 million ($0.73 per share) compared to $23 million ($0.91 per share) last year. Year-to-date net earnings before non-recurring tax adjustments increased by 2% to $60.8 million ($2.39 per share) compared to $59.4 million ($2.33 per share) before restructuring costs last year.

Including non-recurring tax adjustments, the Company recorded a net loss for the quarter of $2.7 million (a loss of $0.11 per share) and year-to-date net earnings of $39.6 million ($1.56 per share).

Operating Review

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects operating earnings by business segment before restructuring costs:

Earnings from Operations

($ millions)	Third Quarter			Year-to-Date		
	2006	2005	Change	**2006**	2005	Change
Fresh Bakery	**25.5**	24.9	2 %	**73.9**	65.6	13%
Frozen Bakery	**1.3**	8.0	(83%)	**13.1**	19.7	(34%)
	26.8	32.9	(18%)	**87.0**	85.4	2%

Fresh Bakery *(Fresh bakery products and specialty fresh pasta and sauces)*

Fresh Bakery sales in the third quarter increased by 5% to $233.9 million from $223.4 million last year, sustained by price increases and sales mix even though sales volumes decreased in the market overall.

Earnings from operations increased to $25.5 million in the third quarter from $24.9 million last year, while earnings from operations for the year-to-date increased to $73.9 million from $65.6 million last year. Earnings in the quarter did not keep pace with the sales increase due to a 35% rise in flour prices, the most significant increase in 10 years, as adverse weather conditions impacted global wheat supply and prices. While the Company has implemented price increases in its fresh bakery operations, this pricing only became effective at the beginning of the fourth quarter and thus did not offset cost increases.

Growth in profitability in the Company's fresh bakery business was also affected by some continued softness in the Canadian bread market, although, this was mitigated by an improved sales mix of higher value products and price increases. *Dempster's Smart*, a white bread product made with a new enriched whole wheat flour that provides the health attributes of whole grain bread, continued to support strong growth in the white bread category. The Olivieri pasta business had a very strong quarter, reflected in increased sales and earnings.

Frozen Bakery (*North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the third quarter increased 19% to $108.5 million from $91.1 million last year due to higher volume in the U.S. and the contribution of the Walsall acquisition in the U.K. Year-to-date sales also increased 12% to $308.3 million from $275.4 million last year.

Operating earnings in the third quarter decreased to $1.3 million from $8.0 million last year, while year-to-date operating earnings decreased to $13.1 million from $19.7 million last year. Profitability in the frozen bakery operations was also impacted by high flour prices as well as start up costs and product waste related to the launch of a new product line for a major food service customer. In addition, operating at the Company's Roanoke, Virginia

bakery significantly increased warehousing and distribution costs as the Company used other plants to fulfill customer orders. The U.K. frozen bakery operations benefited from contributions from the new par-baked plant in Walsall, which was acquired in the first quarter of 2006.

Cash Flow and Financing

Cash flow from operating activities for the second quarter of $49.3 million compared to $48.3 million last year, while year-to-date cash flow from operations was $69.8 million compared with $74.8 million in the prior year-to-date. For the quarter, a decrease in net earnings was offset by a positive change in operating working capital.

Capital expenditures for the third quarter were $12.2 million compared to $10.3 million last year.

Changes in Accounting Policies

Effective January 1, 2006 the Company retroactively adopted, with restatement of prior periods, the guidance presented in EIC Abstract 156, "Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor's Products)". The new guidance requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. This impact of the adoption of this standard was a reduction in sales during the quarter of approximately $34.7 million (2005: $31.6 million). The impact of the adoption for the first nine months of 2006 was a reduction in sales of approximately $98.7 million (2005: $89.4 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the eleven interim periods ended September 30, 2006 (in thousands of dollars except per share amounts):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Year-to-Date
Sales [(i)]	**2006**	**$301,564**	**$335,545**	**$342,344**		**$979,453**
	2005	289,376	$314,280	$314,518	$308,832	1,227,006
	2004	280,350	302,289	307,024	317,678	1,207,341
Net earnings	**2006**	**$19,397**	**$22,880**	**($2,715)**		**$39,562**
	2005	11,885	21,262	23,038	18,737	74,922
	2004	12,549	15,799	19,048	19,252	66,648
Net earnings before restructuring costs and a non-recurring tax adjustment	**2006**	**$19,397**	**$22,880**	**$18,503**		**$60,780**
	2005	15,104	21,262	23,038	18,737	78,141
	2004	12,549	15,799	19,048	19,252	66,648
Earnings per share						
Basic	**2006**	**$0.76**	**$0.90**	**($0.11)**		**$1.56**
	2005	0.47	$ 0.84	$ 0.91	$ 0.74	2.95
	2004	0.49	0.62	0.75	0.76	2.62
Basic before restructuring costs and a non-recurring tax adjustment.	**2006**	**$0.76**	**$0.90**	**$0.73**		**$2.39**
	2005	0.59	0.84	0.91	0.74	3.07
	2004	0.49	0.62	0.75	0.76	2.62
Diluted	**2006**	**$0.76**	**$0.90**	**($0.11)**		**$1.56**
	2005	0.47	0.83	0.90	0.74	2.93
	2004	0.48	0.61	0.73	0.75	2.57

[(i)] Refer to Changes in Accounting Policies section above.

Derivatives

In the ordinary course of business, Canada Bread enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the company had not entered into these contracts, operating earnings for the third quarter of 2006 would have been higher by $0.2 million (2005: lower by $0.6 million) and lower by $0.4 million on a year-to-date basis (year-to-date 2005: lower by $0.1 million). Without these contracts, interest expense for the third quarter of 2006 would have been higher by $1.0 million (2005: higher by $0.3 million) and higher by $2.5 million on a year-to-date basis (year to date 2005: higher by $ 0.7 million).

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward-looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. The Company does not undertake to update any such forward-looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

The Company declared a dividend of $0.06 per share payable on January 2, 2007 to shareholders of record on December 15, 2006.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2005 sales of $1.2 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.